



GEST-S2701 – Exercise session

ES 6. Accruals and deferrals + Capitalization of expenses

2025-2026

Exercise 6.1

For each operation, you are required to record the operations below – as well as any related closing entries – in the journal of DEF company and identify the direct and indirect impacts on cash flows.

Exercise 6.1 – Operation #1

1. On 01/04/2023, DEF grants a one-year loan of 100,000 EUR to a shareholder (Belgian company) with an annual interest rate of 3.6%. Interest expenses are payable at maturity.

Exercise 6.1 – Operation #1

Loan entry

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-04-2023	416		Sundry amounts	100,000	
		550.0	Credit institutions: Current accounts		100,000

- Impact on cash flows

Timing	CFop	CFinv	FCF	CFfin	Δ CASH
	(1)	(2)	(3) = (1) + (2)	(4)	(5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	-100,000	-100,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	0	0	0	0	0
Total impact	0	0	0	-100,000	-100,000

Exercise 6.1 – Operation #1

Accrual/Deferral

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2023	491		Accrued income	2,700	
		751	Income from current assets		2,700

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	-675	0	-675	0	-675
Total impact	-675	0	-675	0	-675

Exercise 6.1 – Operation #1

Reversal

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-01-2024	751		Income from current assets	2,700	
		491	Accrued income		2,700

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Impact direct: at the time of the accounting entry	0	0	0	0	0
Impact indirect TVA: at the time of VAT settlement	0	0	0	0	0
Impact indirect I,Soc,: at the time of corporate tax payment	+675	0	+675	0	+675
Impact total	+675	0	+675	0	+675

Exercise 6.1 – Operation #1

Interest received

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-03-2024	550.0		Credit institutions: Current accounts	3,600	
		751	Income from current assets		3,600

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+3,600	0	+3,600	0	+3,600
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	-900	0	-900	0	-900
Total impact	+2,700	0	+2,700	0	+2,700

Exercise 6.1 – Operation #2

2. On 15/10/2023, DEF received the notice for the fire insurance premium for its building covering the period from 01/11/2023 to 31/10/2024, for the amount of EUR 1,800, which it pays directly by bank transfer.

Exercise 6.1 – Operation #2

Insurance premium payment entry

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
15-10-2023	61		Services and other goods	1,800	
		440	Suppliers		1,800
	440		Suppliers	1,800	
		550.0	Credit institutions: Current accounts		1,800

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-1,800	0	-1,800	0	-1,800
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+450	0	+450	0	+450
Total impact	-1,350	0	-1,350	0	-1,350

Exercise 6.1 – Operation #2

Accrual/Deferral

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2023	490		Deferred charges	1,500	
		61	Services and other goods		1,500

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	-375	0	-375	0	-375
Total impact	-375	0	-375	0	-375

Exercise 6.1 – Operation #2

Reversal

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-01-2024	61		Services and other goods	1,500	
		490	Deferred charges		1,500

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+375	0	+375	0	+375
Total impact	+375	0	+375	0	+375

Exercise 6.1 – Operation #3

3. To get closer to one of its important clients, DEF signs a 3-year (operational) lease contract for the rental of a warehouse starting from 01/11/2023. The monthly rent is EUR 4,000, payable quarterly. The first installment, covering the period from 01/11/2023 to 31/01/2024, is paid on 31/01/2024.

Exercise 6.1 – Operation #3

Accrual/Deferral

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2023	61		Services and other goods	8,000	
		492	Accrued expenses		8,000

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+2,000	0	+2,000	0	+2,000
Total impact	+2,000	0	+2,000	0	+2,000

Exercise 6.1 – Operation #3

Reversal

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-01-2024	492		Accrued expenses	8,000	
		61	Services and other goods		8,000

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	-2,000	0	-2,000	0	-2,000
Total impact	-2,000	0	-2,000	0	-2,000

Exercise 6.1 – Operation #3

Rent payment entry

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-01-2024	61		Services and other goods	12,000	
		550.0	Credit institutions: Current accounts		12,000

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-12,000	0	-12,000	0	-12,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+3,000	0	+3,000	0	+3,000
Total impact	-9,000	0	-9,000	0	-9,000

Exercise 6.1 – Operation #4

4. On 28/10/2023, DEF receives a transfer of EUR 14,400 in its bank account without explanation. The accountant sends an email to the manager asking what this amount received by DEF corresponds to.

Exercise 6.1 – Operation #4

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
28-10-2023	550.0		Credit institutions: Current accounts	14,400	
		499	Suspense accounts		14,400

- Impact on cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+14,400	0	+14,400	0	+14,400
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	0	0	0	0	0
Total impact	+14,400	0	+14,400	0	+14,400

Exercise 6.1 – Operation #5

5. On 30/10/2023, DEF's manager informs the accountant that the 14,400 EUR payment corresponds to rent paid by the tenant of one of its premises for the period from 01/07/2023 to 31/12/2023.

Exercise 6.1 – Operation #5

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
30-10-2023	499		Suspense accounts	14,400	
		743	Miscellaneous operating income		14,400

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	-3,600	0	-3,600	0	-3,600
Total impact	-3,600	0	-3,600	0	-3,600

Exercise 6.2 – 1) Operation #1

1) Record the following operations in the journal and identify the direct and indirect impacts on cash flows:

1. Upon its creation on 02/01/2024, Ernest SA incurs formation expenses (notary) of 1,000 EUR + VAT of 21%, which it decides not to capitalise initially. The company pays the fees by bank transfer the same day.

Exercise 6.2 – 1) Operation #1

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
02/01/2024	61		Services and other goods	1,000	
	411		VAT receivable	210	
		440	Suppliers		1,210
	440		Suppliers	1,210	
		550.0	Credit institutions: Current account		1,210

Exercise 6.2 – 1) Operation #1

- Impact on cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-1,210	0	-1,210	0	-1,210
VAT indirect impact: at VAT settlement	+210	0	+210	0	+210
Corporate tax indirect impact: at corporate tax settlement	+250	0	+250	0	+250
Total impact	-750	0	-750	0	-750

Exercise 6.2 – 1) Operation #2

2. Early 2024, Ernest SA calls on an external service provider to renew its website. It receives two invoices, on 01/03/2024 and 01/04/2024, amounting to 10,000 € + 21% VAT and 12,500 € + 21% VAT respectively. It pays both invoices on 01/04/2024 by bank.

Exercise 6.2 – 1) Operation #2

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-03-2024	61		Services and other goods	10,000	
	411		VAT receivable	2,100	
		440	Suppliers		12,100
01-04-2024	61		Services and other goods	12,500	
	411		VAT receivable	2,625	
		440	Suppliers		15,125
	440		Suppliers	27,225	
		550.0	Credit institutions: Current accounts		27,225

Exercise 6.2 – 1) Operation #2

- Impact on cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-27,225	0	-27,225	0	-27,225
VAT indirect impact: at VAT settlement	+4,725	0	+4,725	0	+4,725
Corporate tax indirect impact: at corporate tax settlement	+5,625	0	+5,625	0	+5,625
Total impact	-16,875	0	-16,875	0	-16,875

Exercise 6.2 – 1) Operation #3

3. On 01/07/2024, in the midst of restructuring one of its departments, Ernest SA receives two invoices from the same supplier. The first invoice, for 18,000 € + 21% VAT, concerns a strategic reorganization study. The second concerns training for staff retraining costs and amounts to 12,500 € + 21% VAT. Both invoices are paid directly by bank.

Exercise 6.2 – 1) Operation #3

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-07-2024	61		Services and other goods	18,000	
	61		Services and other goods	12,500	
	411		VAT receivable	6,405	
		440	Suppliers		36,905
	440		Suppliers	36,905	
		550.0	Credit institutions: Current accounts		36,905

Exercise 6.2 – 1) Operation #3

- Impact on cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-36,905	0	-36,905	0	-36,905
VAT indirect impact: at VAT settlement	+6,405	0	+6,405	0	+6,405
Corporate tax indirect impact: at corporate tax settlement	+7,625	0	+7,625	0	+7,625
Total impact	-22,875	0	-22,875	0	-22,875

Exercise 6.2 – 1) Operation #4

4. On 01/09/2024, Ernest SA takes out a loan with constant annual depreciation of 275,000 € over 5 years, at an annual interest rate of 4,5% (payable annually at maturity), in order to finance the construction of its new building. It receives this amount in its bank account.

Exercise 6.2 – 1) Operation #4

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-09-2024	550.0		Credit institutions: Current accounts	275,000	
		1730	Credit institutions: Current account payable		275,000

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	+275,000	+275,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	0	0	0	0	0
Total impact	0	0	0	+275,000	+275,000

Exercise 6.2 – 1) Operation #5

5. On 01/12/2024, Ernest SA undertakes research and development projects, conducted by external consultants and its own IT employees, for a total cost of 137,000 €, consisting of:

- research costs of 12,000 € + 21% VAT for miscellaneous goods and services (feasibility study - external consultants).
- development costs of 125,000 € of total salary cost.

The invoice for Services and other goods will be paid at 60 days end of month. Salaries to personnel are paid on 01/12/2024.

Exercise 6.2 – 1) Operation #5

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
01-12-2024	61		Services and other goods	12,000	
	411		VAT receivable	2,520	
		440	Suppliers		14,520
	620		Remuneration and direct social benefits	125,000	
		455	Remuneration		125,000
01-12-2024	455		Remuneration	125,000	
		550,0	Credit institutions: Current accounts		125,000

Exercise 6.2 – 1) Operation #5

- Impact on cash flows au 15/01/2025

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-125,000	0	-125,000	0	-125,000
VAT indirect impact: at VAT settlement	+2,520	0	+2,520	0	+2,520
Corporate tax indirect impact: at corporate tax settlement	+34,250	0	+34,250	0	+34,250
Total impact	-88,230	0	-88,230	0	-88,230

Exercise 6.2 – 1) Operation #6a

6. At 31/12/2024, Ernest SA proceeds with the closing and the following operations. Record these operations in the journal and identify the direct and indirect impacts on cash flows.

a) Website renewal costs are capitalised and are subject to depreciation at a rate of 20%.

Exercise 6.2 – 1) Operation #6a

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2024	202		Other formation expenses	22,500	
		61	Services and other goods		22,500
	6300		Depreciation of formation expenses	3,541,66	
		202	Other formation expenses		3,541,66

Indirect
capitalisation
with offset

- Depreciation is assumed prorata temporis:
 - Invoiced on 01/03/2024: $10,000 * \frac{1}{5} * \frac{10}{12}$
 - Invoiced on 01/04/2024: $12,500 * \frac{1}{5} * \frac{9}{12}$

Exercise 6.2 – 1) Operation #6a

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+22,500,00	-22,500,00	0,00	0,00	0,00
VAT indirect impact: at VAT settlement	0,00	0,00	0,00	0,00	0,00
Corporate tax indirect impact: at corporate tax settlement	-4,739,58	0,00	-4,739,58	0,00	-4,739,58
Total impact	+17,760,42	-22,500,00	-4,739,58	0,00	-4,739,58

Details of indirect impact Corp. taxes:

- Impact capitalisation: $-22,500 * 25\%$
- Impact depreciation: $+3,541,66 * 25\%$

Exercise 6.2 – 1) Operation #6b

6) At 31/12/2024, Ernest SA proceeds with the following operations. Record these operations in the journal and identify the direct and indirect impacts on cash flows.

- b) The company decides to also capitalise restructuring costs, these relating to a substantial modification of the structure and organisation of the company and being intended to have a favorable and lasting impact on profitability. These restructuring costs are depreciated over 5 years.

Exercise 6.2 – 1) Operation #6b

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2024	204		Restructuring costs	30,500	
		649	Operating charges carried to assets as restructuring costs		30,500
	6300		Depreciation of formation expenses	3,050	
		204	Restructuring costs		3,050

Indirect
capitalisation
without offset

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+30,500,00	-30,500,00	0,00	0,00	0,00
VAT indirect impact: at VAT settlement	0,00	0,00	0,00	0,00	0,00
Corporate tax indirect impact: at corporate tax settlement	-6,862,50	0,00	-6,862,50	0,00	-6,862,50
Total impact	+23,637,50	-30,500,00	-6,862,50	0,00	-6,862,50

Exercise 6.2 – 1) Operation #6c

6) At 31/12/2024, Ernest SA proceeds with the following operations. Record these operations in the journal and identify the direct and indirect impacts on cash flows.

c) Work on the new construction has started but it will not be operational before early 2026.

Exercise 6.3 – 1) Operation #6c

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2024	6500		Interest, commission and other charges relating to debts	4,125	
		492	Accrued charges		4,125
	270		Fixed assets under construction and advance payments: Acquisition value	4,125	
		6502	Capitalised interests		4,125
	1730		Credit institutions: Current account payable	55,000	
		4230	Current portion of amounts payable after more than one year falling due within one year		55,000

Indirect
capitalisation
without offset

Details:

- Interest= $4.5\% \times 275,000 \times 4/12$
- Short-term debt = $275,000/5$

Exercise 6.2 – 1) Operation #6c

- Impact on cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+4,125	-4,125	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	0	0	0	0	0
Total impact	+4,125	-4,125	0	0	0

Exercise 6.2 – 1) Operation #6d

- 6) At 31/12/2024, Ernest SA proceeds with the closing and the following operations. Record these operations in the journal and identify the direct and indirect impacts on cash flows.
- d) Development costs are capitalised and are depreciated over a period of 5 years, in accordance with the depreciation schedule established by the company for this purpose. Research costs are capitalised and depreciated, in accordance with the legislation, all at once in the exercise.

Exercise 6.2 – 1) Operation #6d

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31-12-2024	2100		Research and development costs: Acquisition value	12,000.00	
		72	Produced fixed assets		12,000.00
	2100		Research and development costs: Acquisition value	125,000.00	
		72	Produced fixed assets		125,000.00
	6301		Amortisation of intangible fixed assets	12,000.00	
		210.9	Research and development costs: Recorded depreciation		12,000.00
	6301		Amortisation of intangible fixed assets	2,083.33	
		210.9	Research and development costs: Recorded depreciation		2,083.33

Indirect
capitalisation
without offset

Exercise 6.2 – 1) Operation #6d

- Impact on cash flows

Timing	CF _{op} (1)	CF _{inv} (2)	FCF (3) = (1) + (2)	CF _{fin} (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+137,000.00	-137,000.00	0.00	0.00	0.00
VAT indirect impact: at VAT settlement	0.00	0.00	0.00	0.00	0.00
Corporate tax indirect impact: at corporate tax settlement	-30,729.17	0.00	-30,729.17	0.00	-30,729.17
Total impact	+106,270.83	-137,000.00	-30,729.17	0.00	-30,729.17

Details of indirect impact Corp. Taxes,:

- Impact capitalisation: $-(12,000 + 125,000) * 25\%$
- Impact depreciation: $+(12,000 + 2,083,33) * 25\%$

Exercise 6.2 – 2) Capitalization of expenses: why?

- 2) What is the advantage for a company to capitalize expenses? Illustrate by assuming that Ernest SA decided to capitalise its formation expenses.

Exercise 6.2 – 2) Capitalization of expenses: why?

The advantage of capitalising expenses lies in the fact that it allows **spreading an expense over several accounting years**- through the depreciation of the generated asset - rather than recording the expense all at once the year it occurs.

Capitalising expenses is allowed in Belgian accounting (BEGAAP) **in certain specific cases** insofar as the expense incurred will allow the company to generate income over several years and thus have a favorable impact over several exercises, in accordance with the **matching principle**.

Furthermore, capitalizing expenses allows improvement in accounting earnings (with, in return, higher taxable income, and thus more taxes to pay).

Exercise 6.2 – 2) Capitalisation of expenses: why?

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
02/01/2024	200		Formation or capital increase or contribution increase expenses	1,000	
	411		VAT receivable	210	
		440	Suppliers		1,210
	440		Suppliers	1,210	
		550.0	Credit institutions: Current accounts		1,210

In operation 1, we had not capitalized the costs. Therefore, these were recorded in an expense account. However, formation costs can be capitalised directly.

Formation expenses are recorded directly on the balance sheet asset side (= "direct capitalization"). They are depreciated over 5 years.